

part in the boom. These included companies to develop perpetual motion (also ahead of its time), to insure horses, to improve the art of making soap, to trade in hair, to repair and rebuild parsonage and vicarage houses, to transmute quicksilver into malleable fine metal, and to erect houses or hospitals for taking in and maintaining illegitimate children, as well as the immortal enterprise “for carrying on an undertaking of great advantage, but nobody to know what it is.” In July of 1720, the government finally called a halt; legislation—the Bubble Act—was passed prohibiting these other promotions, less, it has always been thought, to protect the foolish and the innocent than to secure the speculative monopoly of the South Sea Company itself.

However, by this time the end of that company was in sight. The stock went into a tail-spin, partly, without doubt, the result of inspired profit-taking by those inside and at the top. By September it was down to £175, by December to £124. Heroic efforts, rhetorical and otherwise, were made to sustain and revive confidence, including an appeal for help to the newly formed Bank of England. Eventually, with some support from the government, shares leveled off at around £140, approximately one-seventh of their peak value. As before and later, once the crash comes, it overrides all efforts to reverse the disaster.

There soon followed the search for scapegoats; it was fierce, even brutal. Blunt, by now Sir John Blunt, narrowly escaped death when an assailant, presumably a victim, sought to shoot him down in a London street. He later saved himself by turning in to the government his fellow conspirators in high places—a common modern design. Individuals associated with the company were expelled from Parliament, and directors and other officials (including Blunt) had their money and estates confiscated to provide some compensation to the losers. Robert Knight, the company’s treasurer, departed suddenly for the Continent, was pursued and imprisoned and his extradition sought. He managed to escape and lived in exile for the next 21 years. James Craggs, an influential elder statesman of the affair, committed suicide. Others went to jail. As in the aftermath of the tulips and of John Law, the economic life of the City of London and that of the country as a whole were notably depressed.